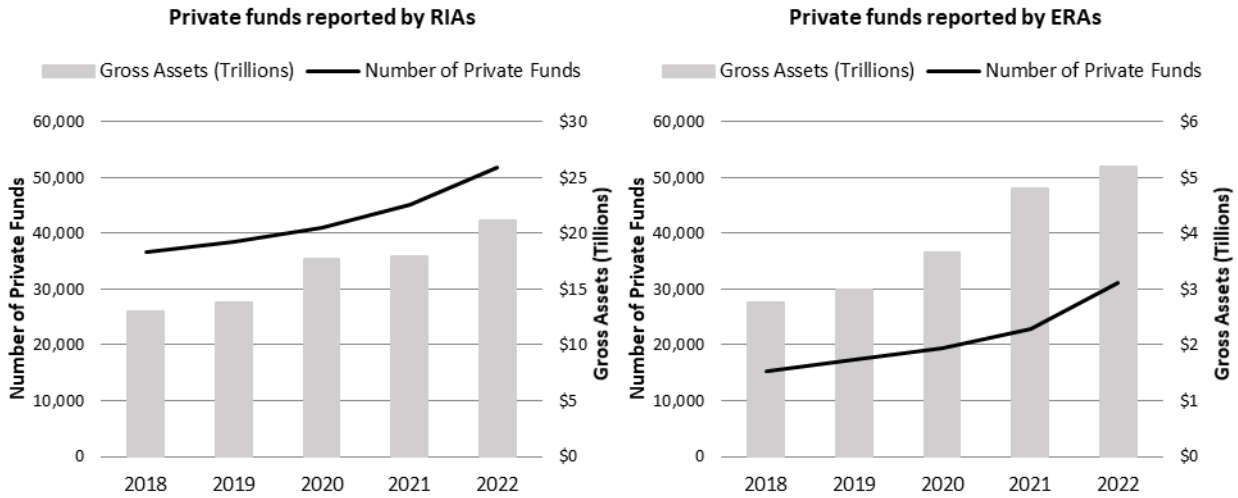
reported by ERAs grew from $7.1 trillion to $9.7 trillion, or by 37%. The trends for private funds as a whole are given in Figure 2. The assets under management of all private funds reported by RIAs grew by 62% over the past five years from $13 trillion to over $21 trillion, while the number of private funds reported by RIAs grew by 42% from 36.5 thousand to 51.7 thousand. The assets under management of all private funds reported by ERAs grew by 89% over the past five years from $2.75 trillion to over $5.2 trillion, while the number of private funds reported by ERAs grew by 105% from 15.2 thousand to 31.1 thousand, as shown in Figure 2A.[1110] There has lastly been similar growth in the number of private fund advisers, as the number of RIAs advising at least one private fund grew from 4,783 in 2018 to 5,517 in 2022, and the number of ERAs advising at least one private fund grew from 3,839 in 2018 to 5,381 in 2022, as shown in Figure 2B.

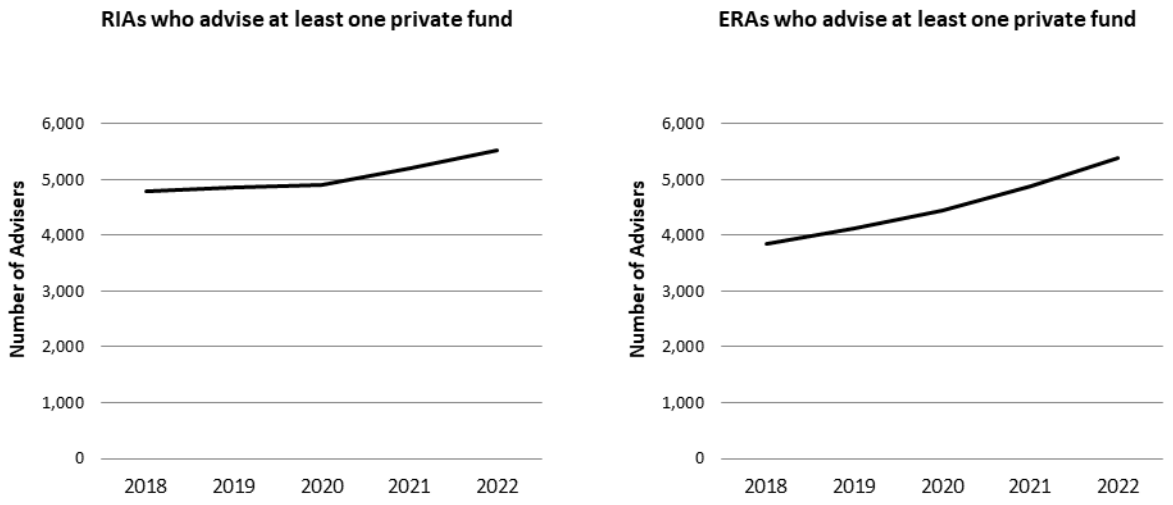
Figure 2A:



Source: Form ADV submissions filed between Oct. 1, 2017, and Sept. 30, 2022.

Figure 2B:

1110 *See* Form ADV data.



Source: Form ADV submissions filed between Oct. 1, 2017, and Sept. 30, 2022.

Despite commenter assertions that all private fund investors are sophisticated and can "fend for themselves,"[1111] the staff have also observed a trend of rising interest in private fund investments by smaller investors, who may have sufficient capital to meet the regulatory requirements to invest in private funds but lack experience with the complexity of private funds and the practices of their advisers. While we do not believe there exists industry-wide data on the prevalence of investors of different levels of sophistication in private funds over time, there has been a distinct trend of media coverage and public interest in expanding private fund investing access. Platforms have emerged to facilitate individual investor access to private investments with small investment sizes.[1112] News outlets have reported other instances of amateur investor groups investing in private equity, or other instances of smaller individual

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1111 *See supra* section VI.B; *see also, e.g.*, AIC Comment Letter I, Appendix 2.

1112 *See, e.g.*, *Private Equity Investments*, MOONFARE, *available at* https://www.moonfare.com/private-equity-investments; *About Us*, YIELDSTREET, *available at* https://www.yieldstreet.com/about/ ("For decades, institutions and hedge funds have trusted private markets to grow their portfolios. Yieldstreet was founded in 2015 to unlock alternatives for more investors than ever before.").

investors accessing private investments.[1113] There is also evidence that this trend will continue into the future, with potential ongoing rising participation in private funds by smaller investors with less bargaining power. One industry white paper found 80% of surveyed private fund advisers and 72% of surveyed private fund investors said non-accredited individuals should be able to invest in private markets.[1114] A 2022 survey of private market investors found that young individual investors were expressing increased demand for alternative investments, and that large private market firms are building out retail distribution capabilities and vehicles, providing greater access to private markets for individual portfolios.[1115] Even absent any changes in relevant law that would allow currently non-accredited individuals, or retail investors, greater access, these data points indicate rising interest and likelihood of rising future participation by more vulnerable investors in private funds.[1116]

Private funds and their advisers also play an increasingly important role in the lives of millions of Americans. Some of the largest groups of private fund investors include State and municipal pension plans, college and university endowments, non-profit organizations, and high net worth individuals.[1117] According to the U.S. Census Bureau, public sector retirement

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[1113] *See, e.g.*, Paul Sullivan, *D.I.Y. Private Equity is Luring Small Investors*, N.Y. TIMES (July 19, 2019); *How Can Smaller Investors Obtain Access to Private Equity Investment*, THE NEST, *available at* https://budgeting.thenest.com; Nathan Tipping, *Private Equity is Finding Ways to Attract Smaller Investors*, RISK.NET (May 20, 2022), *available at* https://www.risk.net/investing/7948681/private-equity-is-finding-ways-to-attract-smaller-investors.

[1114] SEI, PRIVATE MARKET LIQUIDITY: ILLOGICAL OR INSPIRED? (2021), *available at* https://www.seic.com/sites/default/files/2022-05/SEI-IMS-Private-Market-Liquidity-WhitePaper-2021-US.pdf.

[1115] McKinsey & Co., *US Wealth Management: A Growth Agenda for the Coming Decade* (Feb. 16, 2022), *available at* https://www.mckinsey.com/industries/financial-services/our-insights/us-wealth-management-a-growth-agenda-for-the-coming-decade.

[1116] For example, retail investors may continue increasing their participation in investor groups with pooled funds. *See supra* footnote 1113.

[1117] *See, e.g.*, Professor Clayton Public Investors Article, *supra* footnote 12.

systems play a role in retirement savings for 15 million active working members and 11.7 million retirees.[1118]

Private fund advisers have also sought to be included in individual investors' retirement plans, including their 401(k)s,[1119] and some large private equity firms have created new private funds aimed at individual investors.[1120]

2. Sales Practices, Compensation Arrangements, and Other Business Practices of Private Fund Advisers

The relationship between the adviser and the private fund client in which the investor is participating begins with the investor conducting initial screening for private funds that meet the investor's specified criteria, potentially with the assistance of investment consultants.[1121] As noted above, many investors' internal diversification requirements and objectives and underwriting standards generally leave them with a smaller pool of advisers with whom they can negotiate.[1122] Many investors also face complex internal administrative and state regulatory requirements that govern their negotiations with advisers that they contact. For example, for retirement plans, investment committees who are responsible for determining plan strategy are often established by a plan sponsor, an investment board is formed, and the board acts according

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1118 *National Data*, PUBLICPLANSDATA.ORG, *available at* https://publicplansdata.org/quick-facts/national/#:%7E:text=Collectively%2C%20these%20plans%20have%3A,members%20and%2011.7%20million%20retirees (last visited May 30, 2023).

1119 *See, e.g.*, Dep't of Labor, Info. Letter (June 3, 2020), *available at* https://www.dol.gov/agencies/ebsa/about-ebsa/our-activities/resource-center/information-letters/06-03-2020.

1120 *See, e.g.*, *Blackstone, Other Large Private-Equity Firms Turn Attention to Vast Retail Market*, WALL ST. J. (June 7, 2022), *available at* https://www.wsj.com/articles/blackstone-other-large-private-equity-firms-turn-attention-to-vast-retail-market-11654603201 (retrieved from Factiva database).

1121 Advisers may also instead seek and identify investors through multiple potential channels.

1122 *See, e.g.*, ILPA Comment Letter II; NY State Comptroller Comment Letter; *see also, e.g.*, Pension Funds, *supra* footnote 985.

to an investment policy statement and charter. A survey by Plan Sponsor Council of America found that 95% of organizations that sponsor defined contribution retirement plans had such a committee, with 78% of them being established with formal legal documents.[1123] These percentages are both higher for organizations with a large number of participants. Investment committees then report portfolio performance strategy, plans, and results to the plan sponsor and other key stakeholders.[1124] This includes a determination of asset allocations for a portfolio, which an investment committee may make up to several years ahead of actual deployment of capital to those allocations. For example, CalPERS determines its asset mix on a four-year cycle, with the determination being made nearly a year before beginning its implementation.[1125] As another example, advisers may also face State pay-to-play or anti-boycott laws.[1126]

Once investors identify potential advisers, they enter into negotiations to determine whether they will invest in one or more of the adviser's private fund clients. The process during which fund terms may be disclosed and negotiated before investors commit to investing in a fund is known as the "closing process."[1127] For closed-end, illiquid funds, such as private equity funds, there may be a series of closings from the initial closing to the final closing, after which new investors may generally not be admitted to the fund. The end of the fundraising period is

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1123 *See* PSCA, *Retirement Plan Committees*, *available at* https://www.psca.org/sites/psca.org/files/Research/2021/2021%20Snapshot_Ret%20Plan%20Com_FINAL.pdf

1124 *See, e.g.*, Illinois Municipal Retirement Fund Investment Committee Charter, *available at* https://www.imrf.org/en/investments/policies-and-charter/investment-committee-charter.

1125 *See California Public Employees' Retirement System Asset Liability Management Policy*, CALPERS, *available at* https://www.calpers.ca.gov/docs/board-agendas/202009/financeadmin/item-6b-01_a.pdf.

1126 *See supra* sections II.A, II.G.1.

1127 *See, e.g.*, Seth Chertok & Addison D. Braendel, *Closed-End Private Equity Funds: A Detailed Overview of Fund Business Terms, Part I*, 13 J. PRIV. EQUITY 33 (Spring 2010).

the final closing date. For open-end, liquid funds, such as hedge funds, the closing process for allowing new investors to commit may be ongoing over the life of the fund.

Because different investors may receive disclosures or opportunities to negotiate over fund terms at different times, private funds face a fundamental incentive obstacle in making successful closings: later investors may be able to ask the fund adviser what contractual terms were awarded to early investors, and armed with that information they may attempt to negotiate contractual terms at least as good as the early investors. This is one of several difficulties advisers may currently face in successfully closing early investors into a private fund, as the early investor has an incentive to wait for the latest possible opportunity to close.[1128] New emerging advisers may also not have established reputations yet, and earlier investors may have to conduct supplemental due diligence on the adviser. Later investors can freeride on the due diligence, and resulting negotiated terms, conducted by earlier investors.[1129]

There are two leading ways that advisers may currently overcome these operational difficulties with respect to the closing process. First, an adviser may allow investors, particularly early investors, to have MFN status. An MFN investor may have, for example, subject to certain restrictions, the ability to receive substantially the same rights granted by the fund or the adviser in any side letter or similar agreement that are materially different from the rights granted to the MFN investor.[1130] These MFN rights can come with certain restrictions, such as not having the ability to receive any rights granted to an investor with a capital commitment in excess of the

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1128 *Id.*

1129 *See, e.g.*, George Fenn, Nellie Liang & Stephen Prowse, *The Private Equity Market: An Overview*, 6 FIN. MKTS., INST., & INSTRUMENTS, at 50 (Nov. 1997).

1130 *See, e.g.*, William Clayton, *Preferential Treatment and the Rise of Individualized Investing in Private Equity*, 11 VA. L. & BUS. REV. (2017).

MFN investor's commitment.[1131] Second, an adviser may convince investors that the adviser can credibly commit to terms that will be more advantageous than the investor could receive by waiting. One possible path to this credibility would be for the adviser to establish a reputation for this behavior.

Once the closing process is complete, investors are participants in the adviser's private fund client, and the adviser has a fiduciary duty to the private fund client that is comprised of a duty of care and a duty of loyalty enforceable under the antifraud provision of Section 206.[1132] Many commenters cited the existing fiduciary duty in their comment letters.[1133] The duty of loyalty requires that an adviser not subordinate its private fund client's interests to its own.[1134] Private fund advisers are also prohibited from engaging in fraud more generally under the general antifraud provisions of the Federal securities laws, including section 10(b) of the Exchange Act (and 17 CFR 240.10b-5 ("rule 10b-5") thereunder) and section 17(a) of the Securities Act.[1135] As discussed above, we believe that certain activities that we proposed to specifically prohibit are already inconsistent with an adviser's existing fiduciary duty, namely charging fees for unperformed services and attempting to waive an adviser's compliance with its

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1131 *See, e.g.*, *MFN Clause Sample Clauses*, LAW INSIDER, *available at* https://www.lawinsider.com/clause/mfn-clause.

1132 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5. Investment advisers also have antifraud liability with respect to prospective clients under section 206 of the Advisers Act, which, among other aspects, applies to transactions, practices, or courses of business which operate as a fraud or deceit upon prospective clients.

1133 *See, e.g.*, SIFMA-AMG Comment Letter I; PIFF Comment Letter.

1134 *See* 2019 IA Fiduciary Duty Interpretation, *supra* footnote 5. The duty of care includes, among other things: (i) the duty to provide advice that is in the best interest of the private fund client, (ii) the duty to seek best execution of a private fund client's transactions where the adviser has the responsibility to select broker-dealers to execute private fund client trades, and (iii) the duty to provide advice and monitoring over the course of the relationship with the private fund client. *Id*. The final rules predominantly relate to issues regarding the duty of loyalty and not the duty of care.

1135 Advisers' dealings with private fund investors may also implicate the antifraud provisions of the Federal securities laws depending on the facts and circumstances.

Federal antifraud liability for breach of fiduciary duty to the private fund or with any other provision of the Advisers Act.[1136]

Private fund advisers are also subject to rule 206(4)-8 under the Advisers Act, which prohibits investment advisers to pooled investment vehicles, which include private funds, from (1) making any untrue statement of a material fact or omitting to state a material fact necessary to make the statements made, in the light of the circumstances under which they were made, not misleading, to any investor or prospective investor in the pooled investment vehicle; or (2) otherwise engaging in any act, practice, or course of business that is fraudulent, deceptive, or manipulative with respect to any investor or prospective investor in the pooled investment vehicle.

Despite existing fiduciary duties, existing antifraud provisions of section 206 and the other Federal securities laws, and existing rule 206(4)-8, there are no current particularized requirements that deal with many of the revised requirements in the final rule. For example, there is no current Federal regulation requiring a private fund adviser to disclose multiple different measures of performance to its investors, to refrain from borrowing from a private fund client without disclosure or investor consent, to obtain a fairness opinion or valuation opinion from an independent opinion provider when leading secondary transactions, or to disclose preferential treatment of certain investors to other investors.[1137]

In the absence of more particularized requirements, we have observed business practices of private fund advisers that enrich advisers without providing any benefit of services to the private fund and its underlying investors or that create incentives for an adviser to place its own

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[1136] *See supra* section II.E.

[1137] State laws generally require disclosure of information that would not have a material, negative effect on other investors, such as fee and expense transparency. *See supra* footnote 854 and accompanying text.

interests ahead of the private fund's interests. For example, as discussed above, some private fund advisers or their related persons have entered into arrangements with a fund's portfolio investments to provide services which permit the adviser to accelerate the unpaid portion of fees upon the occurrence of certain triggering events, even though the adviser will never provide the contracted-for services.[1138] These fees enrich advisers without providing the benefit of any services to the private fund and its underlying investors. As stated above, even absent a particularized requirement, we believe charging fees for unperformed services is inconsistent with an adviser's fiduciary duty and may also violate antifraud provisions of the Federal securities laws on grounds other than an undisclosed breach of the adviser's fiduciary duty, even if disclosed and even if investors consented.[1139]

The Proposing Release cited a trend in the industry where certain advisers charge a private fund for fees and expenses incurred by the adviser in connection with the establishment and ongoing operations of its advisory business.[1140] The Proposing Release recognized, for example, that certain private fund advisers, most notably for hedge funds that utilize a "pass-through" expense model, employ an arrangement where the private fund pays for most, if not all, of the adviser's expenses, and that in exchange, the adviser does not charge a management, advisory, or similar fee.[1141] The adviser does charge an incentive or performance fee on net returns of the private fund.[1142] However, commenters stated that the Proposing Release did not demonstrate any economic problems with pass-through expense models, and stated the pass-

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1138 *See supra* section II.E.

1139 *Id*.

1140 Proposing Release, *supra* footnote 3, at 140.

1141 *Id*.

1142 *Id*.

through expense models should not be prohibited.[1143] Other commenters stated that pass-through expense models are often optimal outcomes of negotiations, and that pass-through expense models still provide incentives for advisers to minimize expenses.[1144]

However, we continue to believe that, to the extent advisers charge to a private fund certain expenses that benefit the adviser more than the investors, such as fees and expenses related to regulatory, compliance, and examination costs, and expenses related to investigations of the adviser or its related persons by any governmental or regulatory authority, that practice represents a potentially economically problematic outcome.[1145] This is because, since these expenses may benefit the adviser more directly than the investors, including where the expense pertains to an investigation of the adviser or its related persons by any governmental or regulatory authority, any instance of this practice occurring risks representing an exercise of the adviser's bargaining power in securing contractual terms allowing these expenses.[1146] Some investors may not anticipate the performance implications of these costs, or may avoid investments out of concern that such costs may be present.[1147] This could lead to a mismatch between investor choices of private funds and their preferences over private fund terms, investment strategies, and investment outcomes, relative to what would occur in the absence of such unexpected or uncertain costs.

Whether such arrangements distort adviser incentives to pay attention to compliance and legal matters, including matters related to investigations of potential conflicts of interest, may

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1143 *See, e.g.*, Sullivan & Cromwell Comment Letter; ATR Comment Letter; Comment Letter of James A. Overdahl, Ph.D., Partner, Delta Strategy Group (Apr. 25, 2022) ("Overdahl Comment Letter").

1144 *See, e.g.*, Overdahl Comment Letter.

1145 *See supra* section II.E.2.a).

1146 *Id*.

1147 *See supra* section VI.B.